Basic Accounting Equation

The Basic Accounting Equation shows the relationship between what a business owns, owes, and what's left for the owners. This is the core idea of accounting!

1. The Equation

The basic formula is:

Assets = Liabilities + Equity

Think of it as a way to show where a company's money is coming from:

- **Assets**: What the business owns (cash, equipment, buildings).
- **Liabilities**: What the business owes (loans, bills to pay).
- **Equity**: What's left for the owners after paying debts.

2. What Each Term Means

- **Assets** are things that have value and can help the business, like cash, buildings, or equipment.
- **Liabilities** are debts or things the business owes to others.
- **Equity** is the owner's share in the business.

3. How It Works

The equation shows that everything the business has (assets) is either borrowed (liabilities) or comes from the owners (equity).

Example:
If a company borrows $5,000:

- **Assets** increase by $5,000 (because of cash).
- **Liabilities** increase by $5,000 (because it's a loan).

The equation stays balanced!

4. Expanded Equation for More Detail

Sometimes, equity can be broken down further:

$$\text{Assets} = \text{Liabilities} + \text{Owner's Capital} + \text{Revenues} - \text{Expenses} - \text{Drawings}$$

- **Revenues**: Money made from business activities.
- **Expenses**: Money spent to run the business.
- **Drawings**: Money taken out by the owner for personal use.

5. Why the Equation Matters

- It’s the foundation of accounting and keeps financial records balanced.
- Helps with understanding a company’s financial health by showing how assets, liabilities, and equity change.

Summary

The **accounting equation** shows how money moves in a business. It’s a balance between what the business owns, owes, and what belongs to the owner.